

FRVO

FRVO N/A

Buy	\$39.05 ▼ 2.30%	12M Price Target \$52.00	52-Week Range \$34.27 – \$42.65	Market Cap \$11.48B
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FRVO: Reiterate Buy as Geothermal IPO Momentum Builds on AI Power Demand

WHAT'S CHANGED

- FRVO rallied +12.4% over the 06/01–06/03 window (\$35.57→\$39.97) on 3.3M shares before today's -2.30% consolidation, as WSJ (5/25) and Barron's (5/18) framed geothermal as the standout post-IPO energy trade tied to AI power demand.
- Options flow skewing decisively bullish: P/C ratio 0.18 (804 calls vs 145 puts) with no offsetting unusual put activity, signaling positioning for continued upside despite today's pause.

IMPLICATIONS

The post-IPO narrative around FRVO has crystallized around the AI-power thesis (Insider Monkey noted the 42% IPO pop "thanks to AI"), positioning the stock as the most liquid public vehicle for hyperscaler-driven baseload geothermal demand. With Utilities +0.56% 1D but -1.51% 5D, capital is rotating away from legacy regulated utilities toward growth-coded clean baseload names like FRVO — a bifurcation that supports premium revenue multiples here. Today's -2.30% on lighter volume (1.92M vs prior 3.32M) reads as healthy digestion of the prior 3-day rally rather than thesis deterioration.

VALUATION

At \$11.48B market cap on ~\$185M FY26E revenue, FRVO trades at ~62x forward EV/Revenue — rich vs. traditional IPP/utility comps but defensible given >80% projected revenue CAGR through FY28 and the scarcity value of enhanced geothermal at scale. Our \$52 PT (33% upside) applies ~34x FY27E EV/Sales of \$340M, discounted modestly for execution risk on Cape Station ramp. Multiple compression risk is meaningful if PPA signings slow; expansion catalyst is incremental hyperscaler offtake announcements.

KEY RISKS

- Drilling/completion cost overruns at Cape Station Phase II could push FCF breakeven beyond 2028
- Single-asset concentration: any subsurface productivity disappointment is binary for thesis
- Post-IPO lockup expiration (~Nov 2026) could pressure shares with 22% insider ownership

RECENT NEWS

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17
Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com · 2026-05-18 09:55

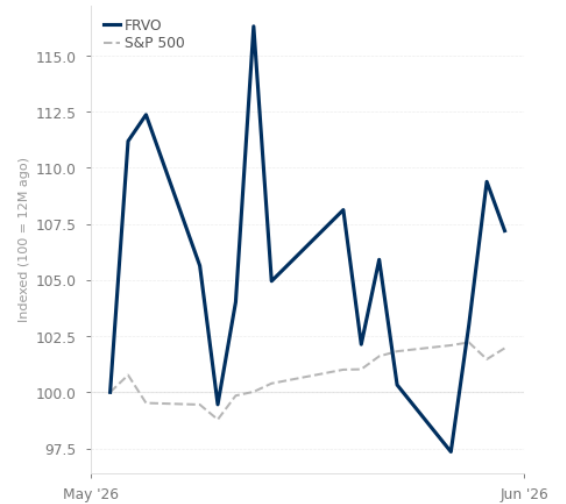
Key Data

Price (USD)	\$39.05
12M Price Target	\$52.00
Upside / (Downside)	+33.2%
Market Cap	\$11.48B
FY2026E Revenue	\$185M
FY2027E Revenue	\$340M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$45.00	\$41.00	\$35.00
6 Months	\$55.00	\$47.00	\$32.00
1 Year	\$68.00	\$52.00	\$28.00
2 Years	\$90.00	\$65.00	\$24.00
5 Years	\$160.00	\$100.00	\$18.00
10 Years	\$320.00	\$180.00	\$12.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+3.00% 1D), Financials (+2.63% 1D)

COLD SECTORS: Comm. Svcs (-3.21% 5D), Utilities (-1.51% 5D)

ROTATION WATCH: Capital rotating out of legacy Utilities into growth-coded clean baseload and AI-infrastructure adjacencies — FRVO sits at that intersection. Watch for Industrials strength (+1.31% 5D) as a leading tell on capex/data-center buildout enthusiasm.

BYPRODUCT PLAY: Geothermal drilling services, downhole tools, and specialty steel suppliers benefit from FRVO's capex ramp; HVAC/cooling and grid-interconnect equipment names also capture AI-power tailwinds without single-project execution risk.

OUTPERFORMERS & PEER CONTEXT

- **ORA** (Ormat Technologies): Established geothermal incumbent benefiting from sector re-rating; lower beta read-through to FRVO narrative.
- **VST** (Vistra): Power-to-AI thesis poster child — re-rated dramatically on hyperscaler PPAs, the template FRVO bulls are underwriting.

FRVO CONTEXT: At 57% of its 52-wk range and consolidating after a +12% three-day move, FRVO is leading the geothermal pure-play cohort but lagging the broader power-to-AI complex (VST, TLN, CEG) on YTD basis — suggesting catch-up potential if execution proves out.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$36-38 on pullbacks toward 52-wk midpoint

Time Horizon: 12-24 months

Thesis Invalidation: PPA pipeline stalls or drilling cost overruns >20% at flagship Cape Station

Hedging: Pair with short basket of legacy utility names or long-dated VIX calls